

Import and Export Compliance

Document Information

- **Document Number:** PROC-008
 - **Title:** Import and Export Compliance
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1. Purpose

This procedure defines the requirements for compliant import and export of goods across international borders. It ensures adherence to customs regulations, trade sanctions, and tariff classifications.

2. Scope

Applies to all international shipments of goods, materials, equipment, and samples either imported into or exported from Acme Corporation facilities.

3. Definitions

- **Harmonized System (HS) Code:** International standardized system of names and numbers for classifying traded products.
- **Certificate of Origin:** Document certifying the country of manufacture of imported goods.
- **Incoterms:** International commercial terms defining the responsibilities of sellers and buyers.
- **Import License:** Government authorization required for importation of controlled goods.
- **Export License:** Government authorization required for exportation of controlled goods.

4. Import Compliance

4.1 HS Classification

Each imported product shall be assigned a Harmonized System (HS) Code by the Trade Compliance team. Incorrect classification may result in duty overpayment or customs penalties. HS codes shall be reviewed annually for changes.

4.2 Valuation

The customs value of imported goods shall be declared based on the transaction price adjusted for the applicable Incoterms. Transfer pricing adjustments shall

be documented and disclosed.

4.3 Country of Origin

The country of origin shall be determined for each imported product according to substantial transformation rules. The Certificate of Origin shall be obtained from the supplier for preferential duty treatment.

4.4 Customs Clearance

Customs clearance shall be handled by a licensed customs broker. The following documents shall be prepared for each shipment: - Commercial invoice - Packing list - Bill of lading or airway bill - Certificate of Origin - Import license (if required) - Product specifications

4.5 Duty and Tax

Import duties, VAT, and other applicable taxes shall be calculated and paid. Duty drawback opportunities shall be evaluated for re-exported goods.

4.6 Free Trade Agreements

All opportunities for preferential duty treatment under Free Trade Agreements shall be evaluated. Required documentation shall be maintained to support preferential claims.

5. Export Compliance

5.1 Export Classification

Each exported product shall be classified under the Export Control Classification Number (ECCN). Controlled items require an export license before shipment.

5.2 Restricted Party Screening

All parties involved in export transactions shall be screened against government restricted party lists, including: - OFAC Sanctions Lists - Denied Persons List - Entity List - Unverified List Screening shall be performed at the time of order and again at the time of shipment.

5.3 Export Documentation

The following documents shall be prepared for each export shipment: - Commercial invoice with export declaration - Packing list - Bill of lading or airway bill - Certificate of Origin - Export license (if required) - Shippers letter of instruction

5.4 Record Keeping

All import and export records shall be maintained for a minimum of five years from the date of entry or export.

6. Sanctions Compliance

6.1 Embargoed Destinations

Shipments to embargoed or sanctioned countries are strictly prohibited without specific government authorization. The following countries are currently embargoed: Country A, Country B, Country C.

6.2 Prohibited Parties

Business dealings with entities or individuals on government restricted party lists are strictly prohibited. Any match during screening shall be escalated to the Trade Compliance Manager immediately.

7. Training

All personnel involved in international trade activities shall complete annual trade compliance training. Training records shall be maintained by the Compliance team.

8. Related Documents

- PROC-001: Procurement Policy Overview
- PROC-055: Supplier Code of Conduct
- LEG-003: Trade Sanctions Policy
- LOG-001: Logistics Procedure